

of the depreciation charge through including it in some blanket item in the income account. The following quotations will serve to illustrate:

“There are many honest differences of opinion about depreciation and about the proper policy to provide for it, but whatever policy is adopted, the investor is entitled to know what it is. A circular of a corporation issue which does not mention depreciation leaves out an important factor in the affairs of the company in which the investor is asked to place his funds” (“Report of Special Committee on the Preparation and Use of Bond Circulars,” printed in the *Proceedings of the Investment Bankers Association of America*, 1925, p. 274).

“The attention of our membership is particularly directed to the treating of the subject of depreciation. Some few circulars omit the balance sheet entirely, but in most instances this occurs in circulars where it is not particularly vital. However, the practice is quite common to show earnings before depreciation and taxes and then say nothing about the amount of depreciation taken. Inasmuch as it is our endeavor to present to the investor as complete a picture as is possible in an ordinary circular, it would seem that unless the earnings before depreciation are given, the amount of depreciation taken, and amount remaining for bond interest and taxes, leaving the balance to go to surplus, the investor has not all of the facts in the case. If the investor understands a balance sheet and is at all familiar with manufacturing, the manner in which depreciation is taken and its amount will tell him quite a story as to the management of the concern in question. Some circulars show earnings after depreciation and taxes but no earnings before such deductions. It is the opinion of both the Industrial Securities and Business Conduct Committee Chairman that the ideal picture to the investor would be presented if the circular showed earnings before depreciation, the amount of depreciation and the earnings after depreciation, as separate items” (*Interim Report of the Business Conduct Committee of the Investment Bankers Association of America Bulletin*, March 1927, p. 3).

NOTE 27

EXAMPLE OF TREATMENT OF MINORITY INTEREST IN COMPUTING INTEREST COVERAGE FOR PUBLIC-UTILITY HOLDING-COMPANY BONDS

The report of the United Light & Railways Co. (Del.) for 1938 included the results of American Light & Traction Co. of which it owned 54.69% of the common stock. The earnings applicable to the 45% minority were about \$1,851,000. This minority interest may be treated in three ways, *viz.*: